

Global Banks

Discussion with legal expert more negative than expected; Uncertainty on WM likely to persist

We hosted a call with a legal expert on China's new Outbound Direct Investment (ODI) regulation, which we previously discussed (see [Global Banks: China investment regulations triggering WM revenue uncertainty](#)) as a risk but with limited regulatory clarity at present. **Based on the discussion, our findings for the UK Asian and Swiss banks are more negative than expected** with regards to: 1) the **scope of individuals**, with the definition of Chinese Mainland Residents (CMR) wider than expected and includes anyone who still has a Chinese household registration & stays in China for more than 183 days (vs our previous expectation of those with a HK ID card as out of scope); 2) the **scope of investments**, with no relief expected on FX restrictions which prohibits RMB-converted funds to be used for investment property and insurance investment products - with **HSBC more exposed to any scrutiny on existing insurance assets given its insurance manufacturing business compared to StanChart with its third-party distribution model**, and; 3) **existing offshore financial assets** which may be in scope (alongside new funds) and which may require additional administrative filings/disclosure with scrutiny to existing AUM, although there is an expectation of a materiality threshold and a grandfathering of rules. **For UBS and BAER's HNW/UHNW businesses, cashed-out proceeds from overseas IPOs or income earned through offshore subsidiaries are likely to be in scope of the ODI framework where we have more concerns** (vs HSBC/StanChart), which we see creating uncertainty around new flows while existing offshore financial assets i.e. back book AuM being in-scope would create potentially higher costs of compliance. Overall, **this new regime will result in incremental friction to net new money generation, with additional compliance risk to the back book of AUM, with cost of equity to remain elevated until we receive more regulatory clarity in the coming months**. We continue to estimate EPS at risk of 4%/5% for HSBC/StanChart which is partially priced, while disclosure for the Swiss banks is more limited and in our view, headwinds to HNW/UHNW net new money are higher than our previous expectations. In the long term, we continue to expect deeper penetration through the official channels (e.g. Connect programmes) as China maintains its focus on opening its capital markets in a disciplined way.

Please note that the speaker's remarks do not represent the views of J.P. Morgan research.

- **Wealth represents an increasing proportion of revenues:** Wealth had a strong performance in 2025, with HSBC growing Wealth Fee revenues by +24% y/y, with StanChart also similar at +24% y/y for Wealth revenues. For HSBC, we forecast Wealth Fee revenue growth of +15% 26E and +12% CAGR 25-28E, with Wealth Fee revenues growing to 17% of Group revenues 28E (vs 13% FY25). For StanChart, we forecast Wealth revenue growth of +25% 26E and +18% CAGR 25-28E (vs double digit CAGR targets), with Wealth revenues growing to 21% of Group revenues 28E (vs 15% FY25).
- **Coordinated framework for outbound investments.** The expert framed

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Related research:

Global Banks: China investment regulations triggering WM revenue uncertainty for HSBC / STAN as well as UBS / BAER ([here](#))

China's new ODI framework as a shift from a fragmented, SAFE-led regime (State Administration of Foreign Exchange) which is focused mainly on FX conversion and cross-border fund flows towards a more coordinated umbrella framework for outbound investments. In his view, this is aimed at improving information visibility and transparency, rather than at restricting offshore investments by onshore residents. Regulators may, over time, open up or expand compliant outbound investment channels for onshore residents, such as Stock Connect quotas and other cross-border investment programs like QDII/QDLP.

- **Key incremental change: ODI scope expanded to individuals, including offshore-generated income.** Historically, ODI rules primarily applied to enterprises. For individuals, regulatory scrutiny of offshore investments focused mainly on cross-border fund flows, while overseas income was largely outside the regulatory perimeter. The new ODI rules (Doc 837) bring individuals into scope of the ODI framework. As a result, regulators may scrutinize not only cross-border money movements but also legally earned overseas income of Chinese Mainland residents. For example, IPO share sale proceeds and income accumulated by offshore subsidiaries, previously not subject to ODI-related review, may now fall within scope under Doc 837 where the beneficial owner is a Chinese Mainland resident.
- **Broader definition of 'Chinese Mainland Resident (CMR)'** The expert suggested that an individual may be treated as a 'Chinese Mainland Resident' if they (i) still hold a PRC household registration (hukou) and (ii) spend more than 183 days in Mainland China. For example, even individuals who hold a Hong Kong SAR ID card (with or without permanent resident status) may be deemed a CMR if they have not renounced PRC citizenship (i.e., have not de-registered their hukou) and they spend more than 183 days in Mainland China in a given year. This interpretation is broader than our prior understanding. We previously treated HKID holders (regardless of permanent resident status) as Hong Kong residents rather than CMRs.
- **Detailed guidelines may bring existing offshore assets into scope, with materiality thresholds and grandfathering likely limiting disruption.** The expert expects MoCOM, NDRC, SAFE, PBOC, and other authorities to issue detailed measures regulating individual ODI under Doc 837. While the impact is difficult to assess ahead of formal publication, the expert drew on the existing enterprise ODI framework to outline what may be forthcoming. In his view, beyond the existing scrutiny of cross-border fund flows, the new measures may require Chinese Mainland residents to file disclosures for existing offshore financial assets and offshore reinvestment activities, covering both historical positions and newly generated offshore income. This could include legally generated overseas cashflows such as proceeds from overseas IPO share sales or income earned through offshore subsidiaries. That said, the expert believes filings may be subject to materiality thresholds, potentially exempting smaller historical investments. Some form of grandfathering may also be introduced, although the scope and transition timeline remain unclear.
- **Implementation details are likely to come after the high-level framework, but the timeline is still uncertain.** The expert believes State Council Doc. 837 is an overarching policy framework, with more operational rules expected from subordinate regulators after July 1. There may be a transition period before or after July 1, but the timing remains unclear. The expert noted that, although the high-level document did not undergo public consultation, the Ministry of Justice was heavily involved in drafting it, and local governments and other stakeholders also participated. He expects there will be additional public consultation before the detailed implementing measures are released.
- **CRS and AI are key tools available to regulators to ensure enforcement.** The expert believes Chinese authorities already have a relatively broad view of offshore asset ownership through CRS (Common Reporting Standard) disclosures by financial institutions in participating jurisdictions (e.g., Hong Kong SAR and Singapore), as well

as tax data, AML/KYC channels, and other sources. He noted that regulators may also leverage AI tools to reconcile and cross-check datasets (e.g., comparing onshore and offshore records) to assess the completeness and accuracy of offshore asset filings. For example, a resident reporting limited onshore/offshore income but holding significant offshore assets could trigger enhanced scrutiny. The expert also expects China to move closer to a “long-arm jurisdiction” model to strengthen compliance and enforcement.

- **Property and insurance likely to remain constrained for outbound investment; eligible offshore financial products may have a clearer, regulated pathway.** The expert noted that existing Mainland FX rules already prohibit using RMB converted into foreign currency to purchase overseas property or life insurance, and he does not expect this restriction to be relaxed under Doc 837. For broader financial products, however, he views the framework as less about an outright ban and more about transparency, identity-based supervision, and risk classification. He expects that 1) genuinely compliant transactions may proceed through approved channels; 2) transactions with incomplete documentation may require supplemental filings or explanations; and 3) higher-risk practices, such as underground money exchange, split FX conversions, or nominee arrangements, could face penalties.
- **The framework could favor licensed, compliant channels in the long-run, but higher compliance burden would be the clearest near-term impact.** The expert expects licensed entities and regulated outbound channels to benefit over time, particularly Southbound Connect/Southbound wealth management channels. For Hong Kong private banks, however, he believes it is too early to draw firm conclusions; the more immediate impact is likely to be enhanced due diligence requirements and higher compliance costs.
- **Family office client behavior appears measured at this stage.** Among his family office clients, the expert has not observed panic sentiment or major asset reallocations. That said, some broader Hong Kong asset holders appear concerned about the treatment of legacy assets and potential future reporting obligations.

Table 1: HSBC/STAN - Quantifying the revenue contribution of HK wealth business

In US\$ mn, as of FY25	HSBC (disclosed)*	STAN (est)	Note (for est)
Group revenue	71,020	20,829	A - disclosed
HK revenue		5,347	B - disclosed
HK revenue as % of Group		26%	c=b/a
Wealth income		3,087	E - disclosed
HK wealth income*	3,500	792	f=c*e (disclosed for HSBC)
HK wealth fee income as % of Group revenue	4.9%	3.8%	g=f/a
HK wealth deposits income in NII	1,902	574	H = HSBC disclosed that wealth deposit income makes up ~20% of Banking NII; we assume the same for STAN.
Total HK wealth revenue contribution	7.6%	6.6%	I=h/a+g
MCV's contribution to HK wealth	25%	25%	J = JPM assumptions; HSBC disclosed that ~20% growth in invested assets in HK are driven by new clients, of which ~70% from non-residents **
Potential revenue impact if no more MCVs	-1.9%	-1.6%	K=-j*i
Impact to 26E EPS	-3.9%	-4.9%	

Source: Company reports, J.P. Morgan estimates. Note: *HSBC disclosed HK wealth income excl. items booked in IWPB is \$2.2bn, and HK IWPB income is \$3.2bn of which ~40% is non-banking NII. So total HK wealth income is ~\$3.5bn. MCV stands for Mainland Chinese Visitors. **According to HSBC, most of the non-residents are non-resident Chinese but not all, and this 70% includes a notable portion of money that is already offshore.

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